SI408: Has Trend Following Changed Forever? ft. Alan Dunne

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis The episode explores the structural and macroeconomic shifts currently reshaping systematic investing, arguing that the effectiveness of trading strategies is being fundamentally altered by two main forces: changes in market microstructure (specifically volatility-adjusted tick size) and a transition into a new macro regime characterized by supply shocks, AI-driven demand, and the end of predictable Fed forward guidance. The central takeaway is that traditional asset allocation is becoming less reliable, necessitating a shift toward investing in specific "behavioral exposures" and volatility-resilient strategies like trend following.

2. Key Arguments & Data * **The Microstructure of Short-Term Trend Decay:** A primary focus is the research by Bouchaud et al., which posits that the decline of short-term trend following is not due to industry size or electrification, but rather the **volatility-adjusted tick size**. * In "small-tick" markets (e.g., FX and Equities), the liquidity and momentum effect created when large trades are executed has vanished. * In "large-tick" markets, short-term trend following remains effective and has shown no signs of a "CTA winter." * **Macro Regime Shift & Supply Shocks:** The era of globalization and abundant energy is being replaced by a period of structural breaks. * New risks include supply shocks in commodities (food, copper, energy) and the end of the "peace dividend" from globalization. * A unique "demand-side" inflationary pressure is emerging from the AI CapEx boom, which increases demand for electricity and semiconductors, potentially forcing a difficult dilemma for central banks. * **The Evolution of Fed Communication:** There is a notable shift away from the "forward guidance" era (pioneed by Bernanke) toward a more evasive, Greenspan-style communication. * The goal is for markets to infer direction from economic data rather than relying on Fed signaling. * **Consequence:** This transition is expected to increase market volatility and may favor trend-following strategies that profit from the incremental digestion of information. * **The Impact of "Pod Shops":** The rise of multi-strategy hedge funds ("pod shops") is altering short-term liquidity. These firms operate under intense, high-speed risk mandates (e.g., being forced to cut

50% of risk within two hours), which likely influences short-term market microstructure and mean reversion. * **Performance Metrics (Year-to-Date as of July 7):** * **Beta 50 (Trend):** Up ~7.5%. * **S&P Total Return:** Up ~10%. * **MSCI World Equity Index:** Up ~9.65%. * **Short-term Traders Index:** Up ~4.65%.

3. Actionable Takeaways * **Shift from Assets to Behaviors:** Investors should move away from traditional static asset allocation (e.g., 60/40) and toward a "total portfolio approach." Instead of asking which *assets* to own, ask which *behaviors* or exposures you need (e.g., convexity, trend, or volatility-adjusted momentum). * **Account for Tick Size in Execution:** For those running short-term systematic strategies, it is critical to monitor the volatility-adjusted tick size of specific markets. Recognize that equities and currencies may no longer support the same momentum-capture capabilities as large-tick commodity markets. * **Prepare for Higher Volatility via Trend Following:** As the Federal Reserve moves away from forward guidance, investors should consider trend-following strategies as a way to navigate a more volatile environment where price discovery is driven by data rather than central bank promises. * **Use Commodities as Strategic Diversifiers:** In a landscape of potential supply shocks (energy/food) and structural changes in the bond market, managed exposure to commodities can serve as a vital diversifier when traditional bonds fail to provide a hedge against equity downturns.

Full Transcript

Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Welcome back to this week's edition of the Systematic Investor Series with Alan Don and I, Niels Kastur Larsen, where each week we take the pulse of the global market through the lens of a rules-based investor. Alan, it is wonderful to be back with you. I know you just told me it is nice and warm in Dublin.

The summer has arrived, it seems. Summer has arrived, for sure. Yeah, we're getting some good sunshine. Not quite as bad as continental Europe, but it's definitely been warm the last couple of weeks. And in my attic office here, it's definitely been hitting some records this week, 29 degrees or something like that. So a little bit cooler today, so I'm hopefully I'll be okay for the next hour at least. Exactly. Now I was just telling you that I sit in a basement where I do my recording and that actually is quite nice in the summer. Not so nice in the winter, but it's really nice at this time of year. Anyways, we've got, as usual, solid lineup of topics, a couple of new papers actually. And one of them in particular, I would say, is quite fascinating. And we're going to get into all of that. But before we do, I am...

Very curious to hear what has hit your radar in the last in the last few weeks. Anything exciting? Well, at that time of year, everybody's heading off to the beach and looking for recommendations for summer reading. So I've been reading a couple of different books. But one that's been very interesting is the book about Jeremy Grantham and the making of a perma bear or something like that. And it's written with Edward Chancellor, who's been on. top traders and folks. So I think Edward Chancellor has written it, but he worked with Jeremy to write it. So I'm kind of only probably a quarter of the way through it, but already a lot of interesting little anecdotes. And I mean, I've always read Jeremy Granton's, you know, his investment outlooks and, you know, The Last Dance was a famous one he had there a few years ago, but I was reading it for about 10, 15 years.

But didn't really know that much about him and his background and how he kind of managed the portfolio. Always assumed he was kind of a fundamental bottom-up kind of stock picker, you know, fundamental value. His letters were always kind of about fundamental valuation and he was always bearish. But a few things that I've learned which were quite interesting from reading the book is one, Him and one of his earlier firms, not GMO, were early proponents of passive investing. So this is going back quite a long time. And they were also early pioneers of quant investing. So that was news to me. I didn't realize he's a quant, basically, or he spent a lot of his time doing quant and also that they had, they use momentum and trend type strategies as well. And we're quite good advocates for them in that.

saw great complementarity between value and momentum. And they were kind of early pioneers in terms of quant investing. And there's a couple of interesting anecdotes about their kind of quant experience. One where they build an early kind of quant equity model based on a couple of fundamental factors for a client to client with the IMF and didn't do very well and then it kind of parked and came back to it, made a lot of improvements. And then it did very well and they were happy with it. And then over the course of the next 10 years, they spent, you know, 10 years tinkering with it, trying to enhance it. You know, all brought in modifications, all that they felt were valid and made sense, and they couldn't improve it. So it's just kind of an interesting anecdote from obviously this is the kind of challenge that we hear from managers all the time. You come up with enhancements, new ideas, but beyond a certain level, very often it's difficult to...

to kind of improve on a model. And another anecdote he had was they found this other factor called the neglect factor. So a stock was kind of neglected by the market. So it didn't have a lot of analyst coverage. I suppose small cap without analyst coverage, something like that. They did research and found this was a very strong factor that they were going to combine with value and with momentum. And they had done the research and they implemented and as soon as they implemented it, it didn't work for six years or something, and then they had to park it. So again, another experience that you hear with quant managers of doing the research, it all makes sense, and then you put it on and it doesn't work. So just show you how timeless these experiences are of running quant and systematic strategies. He's talking about these experiences from the 1980s, 1990s, and we still encountered them today.

Yeah, no, I mean that's actually very interesting indeed and it sounds like Alan you should reach out and get him on your series for sure. But joking aside and I certainly remember a little bit in the same vein that during that kind of quote-unquote and I don't really like the term but the CTA winter then everybody knows which decade I'm talking about. I suddenly remember going out to a lot of meetings and people were kind of expecting also what changes have you made to the model and we're kind of think well we haven't really made any changes to the model because we don't think there's anything wrong with the model it's just that at the moment there's just not a lot of trends so so we I fully understand this thing about where you spend a lot of time but you realize that.

There's not a lot you can do to really move the needle in terms of that, which is hard for people to believe because they think, oh, all this new technology, clearly there are ways you can just keep improving, but maybe not always. Now, I know you had something slightly different on your radar, which we're going to come to in a second. But on my radar, it was a little bit related because I saw a story this morning on Bloomberg. I thought it was quite funny. that some of the really big retailers in the US have started offering their popular products, but in smaller size, not in bigger size, but in smaller size so that it actually becomes a bit cheaper for people to buy. Obviously, I'm sure that they're actually getting a bad deal or a worse deal, I'm sure of that. But when I think about the US and going there as a kid and all of that, I was always impressed about the huge size. You go into...

McDonald's and I mean your drink you could hardly carry the drink so it was so big but now apparently it's going the other way around and maybe that's the shift we're gonna see and I guess it's also in a sense a sign of the fact that lots of people who are struggling who simply can't pay normal prices so quite relevant we don't need to go into the whole inflation point right now because I think it might come up later but the other thing which oddly enough is also something that is relevant for our discussion later today. And I don't know if you saw this, but I think it was yesterday or maybe this morning in the Financial Times that it was announced that the CME Group is going to now offer a different new contract for oil. And it's only going to be based on 10 barrels instead of a thousand barrels, meaning the tick size.

I guess the contract size will be a lot lower. And this is I'm sure in order to drive more retail money into that where they can trade these things. But the challenge I have, there's going to be another angle to this in a few minutes when we talk about one of the papers today. But the other thing I was just thinking of was Is it really a good idea sometimes that we just want to get more and more retail money into some of these markets that way you can really get burned if you don't know what you're doing? And I'm thinking specifically about the craze around silver last year. A lot of people got in quite late. I have a feeling it wasn't the professionals that bought the highs. And you often hear about that. So is this search in retail products a good idea?

I know it might sound a little bit biased because I come from the quote unquote professional world where we traded in our business. So it's not to exclude people but sometimes not all I think the financial instruments are meant to be traded by everyone. I don't know if you have any thoughts about these things or what you see. I guess to see me is. trying to compete in the new environment. You know, I guess you could say, you know, it's not all bad. I mean, obviously we've had micro contracts being available on different markets, certainly S&P and then they brought in on the yield curve and stuff like that and a gold as well. There's a one-ounce contract. So, I mean, it certainly helps if you're, you know, even if you're kind of a semi-pro and you run a small portfolio, it's definitely helpful from that perspective. I mean, I think Ridge Health can can find ways to speculate on these markets somehow. You had the oil ETF. I can't remember exactly what it was called. And that ran into challenges, obviously, when oil went to negative. But isn't that the one that went negative? Yes. So I mean, unequally, you can trade on spread betting, obviously, here, with smaller amounts. You can speculate on oil anyway, even if you can't directly trade a contract. So I guess.

They see me as recognizing that it is a segment of the market now and they want to offer a product for that segment. Yeah, I'm not surprised that they do it. It's just sometimes, but you're right. I mean, it's probably inevitable. What's also inevitable is that we're going to talk about trend following and CTAs right now. Because, I mean, we are about a week into the third quarter, but I thought it probably makes sense to hear your thoughts a little bit about the first half of this year. My trend barometer yesterday closed at 50, which is a decent strong number, even though I will say the first week or so of July has been quiet to a little bit soft for managers. And obviously the last couple of days we've had some reversals now again, given the renewed bombing campaigns happening in the Middle East.

So definitely been some changes in some of the directions, especially in energies, but overall not a bad first six months for the CTA world, but with some dispersion. And not that I have a fully clear picture of the situation as of yet. It looks to me that people who did non-trend stuff, inside their strategies probably did a little bit better. Some of them somewhat better. But on the other hand, people who traded alternative markets, which obviously became very popular a few years ago, they struggled and a number of the names came out negative with very few exceptions, such as Isam who did well. but some of the other big names are not so well. So those are kind of some of my takeaways. You sit on the allocator side, you monitor it from a different vantage point. What are your takeaways, Alan? I mean, looking at the year today, it's definitely been a good year so far. I mean, you know, solid kind of, you know, returns. Obviously, if we were to go back to the middle of May, it looked even better. We've kind of had a little bit of a...

draw down since then. My sense was kind of across the managers, I was monitoring in June. I thought they were generally a bit more negative than the annex. I think the annex was there and less than a couple of percent. And my sense was across more, I was seeing more negatives than positives. So I think certainly June was interesting from a dispersion perspective, as you say, non-trend may have been a factor. I think we had a lot of reversals in commodities. In June, obviously, links to the Middle East change in tone there was one thing, but equally metals, aluminium, copper, and then also markets like soybean oil, which were kind of also... related to that. And then it's kind of late June and July, things like corn rebounding. So I mean, in the commodity space, I think there's been good opportunities, you know, earlier in the year, particularly in precious metals. And as we've seen kind of later in the first half of the year, maybe some challenges. So I think...

It still feels like a good environment, plenty of direction movement, plenty of volatility. It was looking like a very good year at one point, but still certainly better than average year to date, I would say. Looking at the returns year to date. What why I was reminded of a little bit when I just look at the price action to some degree of the markets right so we had this massive search in energy markets a few months ago. And and and also in other commodities obviously precious metals had been doing pretty well coming into this year and some so forth. And and you you did see a number of experts coming out on Bloomberg CNBC whatever the channels are called.

saying that this looks like the beginning of another commodity supercycle, as you would expect. Now, if you think back, that's exactly what happened in 2022 after the Ukrainian war started, right? So around sort of March, April, that's where all of this was taking place and some of the markets, especially the metals, the base metals, were surging and then it all collapsed, right? And I'm kind of thinking, Hmm. The last month or so, you kind of seen more or less the same picture in the commodity space. Now, interestingly enough, later today, I am recording with one of our favorite commodity experts, Adam Rosenzweig, and that's going to come out in only a few days, so on Wednesday. But we know historically, because we can see the days that actually 2022 turned out to be a really great year for CTAs. I'm not predicting, I'm not making a prediction here.

But it is interesting some of the similarities at least in terms of the narrative, the price action, and so on and so forth. Is there something you've noticed or is that just... Yeah, I think a couple of things. I mean, I think when the conflict kicked off in the Middle East and, you know, in March, everybody was scrambling to understand... the straight of her moves and, you know, how significant is this? And, you know, I think I listened to a lot of podcasts around that time, our own other ones. And there was a general sense on this is a big problem and that this problem is looming in weeks if this isn't solved. You know, that that was my takeaway from listening to all of these years. And that the maybe the relevant parallel was something like COVID that this is coming and when it's going to come, it's going to hit.

hard. Clearly it wasn't the case. So it's like, well, what happened? And I mean, obviously, after the fact, we got explanations around, you know, Chinese oil demand declined because they were able to tap into their own reserves. And, you know, some of the oil flows were able to be rerouted via pipelines, etc. So the market was able to withstand this for a matter of weeks or a couple of months. So, I mean, that narrative is still out there that if it if the disruption persisted that there's still a problem. But it did make me think certainly that the predictions were pretty pessimistic at the time. That's not to say that we're wrong. I mean, there were wrong in the sense that the problem did go on for a couple of months and we never hit that point of really big spikes. So maybe it was just a warning shot. Maybe those fundamental challenges are there in another scenario.

Maybe China wouldn't be in that position to release its own oil supplies, although it has them and maybe domestic demand might be stronger. So, yeah, that was my kind of big takeaway from that period. But equally, it's not just the Middle East. I mean, it'd be interesting to hear what Adam has to say in your pockets because... Obviously, copper is a good reflection of the AI theme, you know, and that trend. And, you know, that's not going away in the capyx plans of the hyperscalers and all of those people investing in data center builders are just escalating from here. So that's a fundamental, that's a demand side as opposed to supply side story that hasn't gone away. So yeah, so I think it's not just supply disruptions. There is a big demand story there too.

Yeah, no, no, I completely agree. And that's the beauty of what we do, Alan, is we don't actually have to predict what's going to happen. Anyways, we'll follow it closely for sure. Now, before we move on to your topics, let me just quickly run through the data here. This is as of Tuesday, the 7th of July. Beta 50 down about 23 basis points in July, still up 7.5 for the year. Sartre NCT index down 46 basis points in July, still up 8.9% for the year. The trend index pretty close down 58 basis points in July and still up 8.5% for the year. And the short-term traders index down 0.42% but still up 4.65% so far this year. In the traditional world also a little bit of softness. MSCI world equity index down 27 basis points as of last night up 9.65% for the year.

The US aggregate bond index down 56 basis points for the month, up only a quarter percent or so this year. And then the S&P total return is down 21 basis points up about 10% so far this year. But again, when I look at the price action for the past week, there's been a couple of decent moves, but it's mainly been some things like cocoa. that keeps sort of surging now suddenly after it was in a big downtrend for a while. But the energy markets also seem to have had some decent moves, but not crazy moves, I would say. Anyways, I kind of alluded to it that you had kept something away from me, namely the story that you were meant to talk about under your radar. We've moved that to the macro view, so I'm excited to hear.

What's hiding in the macro view? Well, maybe we'll get to that in a moment. But I just wanted to talk, within the whole macro, we always kind of take a few moments to talk about what's interesting from a macro perspective. And the thing I wanted to focus on this time was really that obviously we've had a change at the Fed. And we've had, you know, Kevin Orsch has now come in. We had his first news conference, press conference, which was interesting. And we're already seeing a few changes. I think at the Fed, we had a shorter statement after the June meeting. We had a different type of press conference. He didn't really say anything of substance about his view on the economy very much.

was evasive on that. And he didn't obviously submit a dot into the dot plot. So we're seeing changes there already. And, you know, I think it's interesting. He has, you know, commissioned these task forces or he's in the process of doing so. And one is, you know, around communication. And this seems to be a big issue for him communication. You know, he's not a fan of forward guidance. He doesn't likely he thinks he can kind of put the Fed in a bit of a box, the markets have become overly reliant on it. And it's interesting, you know, Alan Greenspan passed away there recently and Worsh does seem to be a fan of Greenspan and obviously Greenspan was famous for kind of.

not giving much away and his quote was something along the lines of if you think you've understood what I've said, you've misheard me. He didn't want to be pinned down or wanted to be evasive. At the press conference, Warsh mentioned this idea that he wants the markets to draw their own inferences about the data. as opposed to the markets being totally consumed with trying to anticipate what the Fed is doing. And forgetting about what's the actual data, he wants the markets to guide the Fed. And it's actually an interesting idea. And it goes back to that green span era. Because I remember when I came into the markets first in the 90s, there was this idea that sometimes the Fed might raise rates or cut rates.

And people say, well, they're just validating what the market has already priced. You know what I mean? That very often you would get a move in bond yields or whatever. And reflecting the fundamentals and the Fed would effectively validate that. So that's kind of the idea he's getting at. So it's worth considering where did this idea of... transparency and forward guidance come from in the first place. Like why was it a thing before? And actually it was Bernanke back in the 2000s who was a big proponent of more. transparent communications and more, and I guess forward guidance. And he had two speeches back in 2004, which kind of laid out the reasons for this. And I suppose a lot of it was a product of the time. At that stage, they didn't have the use of tools like QE. So they were very conscious that the Fed could control short-term interest rates, but not necessarily long-term interest rates.

So the use of communications was seen as part of the tools that they had to try and influence long-term rates. So, you know, if anybody in the market at the time would remember phrases like when they were about to raise rates, they might say that we're going to be patient in raising rates or if they were on hold. The code was developed that they would say things like rates would be low for a considerable period. So the market came to understand what this meant. But the overall objective was to try and use communications to influence long-term rates because obviously at that stage they weren't doing QE. There's also a sense that more shocks created more volatility, which was seen to be a bad thing. And then certainly as we got into the kind of the financial crisis era and post financial crisis era.

The whole point about committing to keeping rates low for a long time was a key part of the arsenal of their unconventional policy tools. So you could say maybe the world has changed now and maybe that's where it's justified, that a different era now justifies a different approach. What he wants is obviously the market to make its own inferences. about where rates should be going based on the economic data. I mean, it does create some questions. What might that mean for us? What might it mean for the markets, for investors? You know, simplistically, it would suggest more volatility because there's going to be more uncertainty. The Fed's not going to be telling us weeks in advance that it's likely it's going to be raising rates. You know, for a long time in the last couple of years, it was kind of leaked.

to Nick Timmeria set the Wall Street Journal of what was going to happen and the markets could digest it. That era seems to be over now. Can the markets infer from the economic data alone? It remains to be seen. A lot of people have grown up now in the markets just listening to the Fed and operating on what they say. It could be good for trends is another factor because if you think about it. you know, if the Fed starts a tightening cycle and then they put it into SEP where we think rates are going to be a 1% higher in a year's time, the market kind of factors in a full tightening cycle straight away. Whereas if it's going to be more incremental, it's going to take time for the market to infer.

the extent of a tightening cycle, so that could be more if information is digested more incrementally. You might see a bigger term premiere on bond markets as well because of this, because of the uncertainty. And while there are good aspects to it, it does also create maybe a bit more, a little less accountability. We won't get to hear exactly why the Fed has done everything. We may not hear the full debate. I mean, they're reviewing everything. So, certainly the impression from the last press conference was, don't expect as much detail from Warsh as we are used to. from Jay Powell and his predecessors. So I think it's interesting. I think it could mark an era of, as I say, more volatility and potentially good for trend. I mean, the other factor just in relation to wars at the moment, that's interesting. He spoke at a European conference and I think the initial impression was he was hawkish at the first meeting. Then when he spoke in Europe, he said inflation risks are down.

are coming down. And the big dilemma that he's facing, and this was the article that was on my radar, you know, he was in the Wall Street Journal recently about how the AI trade is fueling inflation. across so many different products from iPhones to Nintendo consoles by basically pushing up the price of memory and chips and pushing up obviously the price of electricity etc. And this is the big dilemma that Warsh faces now in that, you know, and it goes back to the Greenspan dilemma of the 1990s. When you get a productivity shot, there's a supply element and a demand element. We're experiencing the demand element now. So the demand is pushing our prices. The supply side is the productivity gain that is expected to come down the line. And this is what Warsh is talking about. He's saying, well, we believe that we'll get a disinflationary impulse down the line, but we don't know when it is. So it is quite an interesting dilemma. Do you raise rates now to cool the demand from the AI CapEx boom?

even though you think it's going to be disinflation really down the line. I don't know. I think the market is going to go on with the hawkish narrative, but we'll have to wait and see. I think I'm kind of a little more skeptical on that. I'm not sure maybe that Warsh is as hawkish as the market inferred from his first press conference. No, I think that definitely remains to be seen. And of course, You know, Bernanke may have started this thing about narratives and so on and so forth, discussion about narratives. But of course, there was also a book written by, I think, Robert Schiller called Narrative Economics about 10 years ago because narratives have become super important. And speaking on the whole inflation point, I mean, not a very nice present he got from Apple raising their prices 20-25% in a day. I imagine with their size it's going to be showing up somewhere in the inflation numbers. So interesting times indeed. Thanks for that. And I agree. I mean, I think for me, maybe the more interesting part about the changes, maybe not so much this thing about the narrative side, whether they give long press conferences or not. I'm actually quite interested in what are they going to change in terms of the economic data they want to publish? Because I think A lot of people are kind of reliant on certain data and may even have built models based on certain data. So what happens when you can't get that or it's completely restructured and is calculated in a very different way? That's going to be interesting as well. What is also going to be interesting are the three papers we have time for today.

Two of them we've kind of lumped together, one from our friends at Aspect and one from Systematica. And then the third one is from a number of people. But I think I don't know if all of them are associated with CFM, but it's a very interesting paper. So I think we may spend more time on that than we will on the first two. Nevertheless, when good people put out papers, we want to highlight them. Tell us a little bit about what you found interesting in the aspect and systematic papers and maybe set kind of the tone for what they're actually about. Yes, so I mean, there are two papers that are basically making the case for trend and trend strategies. But from, I guess, different perspectives. I mean, the aspect of paper is about the changed macro world, the changed macro regime.

which we have spoken about before, but I suppose re-emphasizes many of these themes that the last 25 years were effectively anomaly in terms of kind of abundant energy and the peace given from globalization, et cetera. And now we are seeing kind of structural breaks in markets such as bonds are less reliable. diversifiers for equities, store of values such as the dollar being reassessed and redefined, surging demand for gold from central banks, and I suppose commodities as much more strategic assets. And then given that backdrop trend following has been a great way to reflect and play on those themes as a diversifier, as a strategy that is adaptive for for regime change as a strategy that gives access to commodity exposure in a managed way.

So I think that they were all important points. I mean, one thing that got me thinking on this paper is like everybody kind of looks at this kind of these supply shocks and talks about, oh, if we get shocks like an energy, people always think it's an energy shock and that would be bad for bonds and equities and it's that kind of scenario that you might need other things in your portfolio. But it's not just an oil shock that we need to think about. There are other kinds of shocks. We could have a shock in other commodity markets such as the copper markets. food prices, et cetera, that could be disruptive and be negative for traditional assets. Because I say that because a lot of people say, well, now the world has changed. We're not in the 70s anymore. We're not as reliant on oil. And we had what we had in Iran, and it didn't get as so disruptive for oil. But so the point is, we're not just talking about oil. We're talking about commodities more generally.

And we could have shocks elsewhere. We could have a fiscal shock or a fiscal problem in the bond market that could impact bonds and equities. And where else can you find sources of diversification in that stage? Or in currencies, we could see... We could see a huge dollar decline or a huge dollar rally, which could be disruptive for traditional assets as well. I think all of those are relevant when thinking about these supply shocks. The systematic paper makes the case for trend from a different perspective. It's along the lines of the total portfolio approach, what we're hearing a lot more about now. And this is, again, recognizing the failings and the drawbacks of strategic asset allocation, and particularly in the current environment where bonds are less diversifier. And in this paper, they highlight the shift in the stock bond correlation, but also that many other hedge fund strategies give you a lot of equity risk, and as those private equity. So it's about finding the true diversifiers.

you know, the likes of equity market neutral is a good diversifier. But it's it's unlikely to give you that convexity. So the trends can. So in terms of, you know, diversification and what they call dynamic risk management, they're making the case for trend as complimentary to equity market neutral, you know, in terms of building out portfolios that are more, you know, balance from a risk perspective. So I think the two papers are good in terms of summarizing those points, probably things that we have spoken about before, but maybe restating those points with a different lens. Yeah. So when I think about, I mean, obviously these are, as you say, these are not necessarily new things that has come out in these two papers.

But when I think about it, maybe I think about these things a little bit differently in the sense that when you look back and we always talked about the 60-40 portfolio, 60% equities, 40% bonds. And the way I thought about sort of portfolio construction was more about maybe the assets you should own, so to speak. What I think this narrative, not just these papers, but generally where the discussion seems to be going is not so much which assets you should have in your portfolio, but more about the kind of the behavior you should own or have kind of the exposure, not so much the underlying asset. I know obviously you like the talk about these sort of behavioral exposures, regimes. So I think there'll be more of that and I hope that Investors and larger investors will will be start thinking more about that. So they're not kind of stuck, which I guess the total portfolio approach is kind of also a way to to, you know, get away from the silos where you could only stay in a very narrow lane. Now it's much more about kind of the impact that say a strategy has on the total portfolio, not so much about how it does relative to a few other similar type strategies.

So maybe we just need to get used to talking more about, which would be good for us because we've always argued that there is a behavioral element in why trend following works, so to speak. Okay, let's move on to maybe the feature of this conversation, so to speak. Is trend still your friend? Is the paper a microstructure account of the demise of short-term trend following? Now, It's definitely a detailed paper. It is by a number of people, Judah Cuth, Sultan Islah, Adam Rai and Jean-Philippe Bouchaud, well-known to many people, chairman of CFM, previous guest on the podcast and highly respected, of course. Now, what I like about this paper, and I admittedly have not sort of studied it probably as detailed as you have, but...

What I like about the paper overall and why I think it's such an important paper is that it puts validity and depth to something that certainly we've talked about on the show for many years, namely this very simple observation that show term trading doesn't seem to work as well anymore. but not really being very specific about it. Just noticing that short-term managers haven't done that well. Some have gone out of business. And if we look at our own models and signals, we've certainly noticed that parameter settings have probably become longer, slower systems have done well, all of those discussions we've had. So that's the interesting thing that we finally have something that is well done, well researched that kind of dives into this and try to explain what it is we've been observing, why that could be the case. So if I can tee it up like that to you, Alan, then maybe you can you can tell us much more about this wonderful paper. Yeah. No, it's definitely a really interesting paper. And as you say, it's, you know, getting to a heart to the heart of something we've been looking at and debating and markets for a while, not just, you know, you had the kind of the more sluggish performance of trend generally for a period. And then also, you know, the challenges for fast trend as well. And, you know, we've talked about some of the explanations and some of the potential explanations and I guess what's interesting in this paper is they also look at some of those ideas as well and are dismissive of them as well. Maybe we should talk about those. The classic ones are acids. Remember we used to hear the industry has got too big, so that was the source of the degradation in returns but actually that's not consistent with the evidence in terms of AUM.

And kind of stagnated for a few years in the industry. And actually, you know, the growth of liquidity in futures markets, the CJA footprint would have been declining over time. So that's not true. And then also the electronefication of markets is another thing. And, you know, if you look at, say, the electronefication of futures, interest rate futures markets. has come along and has had no impact on the profitability of those markets. What they are proposing or what they're suggesting is actually that it's the volatility-adjusted tick size that that's a key variable for how conducive a market is for fast trend following. So what does that mean? You've got different markets of different tick sizes. And then you've got to think about the tick size relative to the volatility of the overall market. So for example, the tick size in currencies has gotten very small of lace. The euro is, say, 1.13 zero zero.

1,3001. So the size or the value of a tick is small. And even people probably trade even less than that. Whereas in the bonds, you know, it's much bigger at if trade markets, it's much bigger in certain commodity markets, it's bigger as well. So I suppose the intuition behind this is that in the small tick size markets, you tend to see less. less liquidity. The liquidity is there, but it's not necessarily apparent that it's at the kind of representative bid offer. Whereas maybe in the past, before you had the advent of high-frequency trading, you would see a large volume at the bid offer. So the point that they're making is that in the past, you had a transmission mechanism for fast trend following querby.

you know a trend follower would trade a decent size in these markets and then that would kind of set forward a series of events where the person who receives that trade then trades in the market and that creates momentum in itself. So the way I think about this because I started in foreign exchange markets and in the nineties and the way the markets work back then was if you were say a CTA going to buy a dollar YEM you called up. Bank of

America or whoever was and give me a price in dollar yen in 50. But I say if you wanted in a yard of dollars or 500 dollars, that was a big amount. But they would quote a price for that. So you could actually get a big trade on. You might not want to because you might say, well, the spread is going to be wider. But the big banks would quote you a price for that. So if you go and buy a billion dollars or 500 million in one go, What did the bank do then? Well, the bank then they call up all of the other banks and they bought again. And what did those banks do? Well, they did the same thing. And so the fact that a lot of trend followers would come on and execute size, big size at that price, put in place a momentum effect that this is the thesis of this paper that that Moment of effect that comes from the actual trading was what is a key part of what drives trend following returns now they acknowledge it's not the only part but it's probably the most relevant part for fast trend following they also touch about how you know behavioral factors like.

the speed of adjustment for different participants in the market and underreaction initially and then overreaction later. These are the typical explanations of why trend following works. But they're proposing another explanation that a big part of it was that you could get. For fast trend to work, you had to be able to get big trades on at a reasonable cost. And then for them, those trades too. you know i suppose encourage more momentum in the markets which i think is make sense i mean as i say from my experience in fx markets that's what you would have observed understand well something changed around 2010 where you had a lot more high frequency traders. and the banks basically took a step back from warehousing risk like that. So you wouldn't be able to get a big trade on like that. And also, it could be that the CTA behavior has changed as well. If you think about it, if all CTAs suddenly said, OK, we're not going to...

trade at the offer, say we're trying to buy in the market, and we'll be very slow in putting our trades into the market. That creates maybe arguably less momentum itself. They look at the different explanations. What they find is, interestingly, that the variable that, as I say, that explains the degradation in returns and fast trend following. Is this volatility just a tick size? From the perspective that if you look at the performance of fast trend following, it deteriorated in certain markets, but not in all markets. In the large tick size contracts, fast trend following does seem to work. Actually, the title is nearly a little bit, not quite misleading, but actually that was one of the interesting aspects of the paper when you get into it, is that Actually, it's not saying that fast trend following doesn't work at all. It's just that it doesn't work in these particular markets, particularly equities and currencies. They've also analyzed the order books in different markets. And another feature that they do see is that there used to be a lot more liquidity available for trend followers. So if you were looking to buy those plenty of liquidity there, That's less the case now and that's since 2010. Why is that? Is the liquidity providers are shying away from offering that liquidity? And I've also found another interesting feature of this research is they found that counter change trades have become more dominant in the markets in the last while.

And that's interesting because you might remember when we spoke to Toby Crabill a few weeks back. This is something that he said as well. He wrote this book called Opening Range Breakout and he was saying that you used to see a lot more follow through when you get a break in markets, whereas now you tend to see a new low and then a reversal. So markets seem to be much more mean reverting at short term time horizons. Now, if you delve into the paper, there's an interesting chart. If you look at the performance, I don't know if you have it there in front of you. I'm looking at figure 10 at the moment. Let me pull a figure 10 because I was looking at figure 10 as well and it's kind of striking. If you look at figure 10, What it shows you is this degradation for fast trend following which is the red line there when people go download it. But actually what struck me is that.

It very much didn't work for a decade. You can see that it stopped working basically between 2010 and 2020. But since 2020, its performance has kind of improved again, not with sounding a little. So is it the case of a structural change or is it the case that we had a decade where it didn't work? So that's something that they don't address. And the other thing that I think is interesting, if you look at the large tick markets, which is the chart on the right hand side, Fast trend has actually been better over the full period since 1995, which is really surprising. And slow trend was quite challenged. Again, between 2008, it has picked up more recently. So again, that's not addressed in the paper either. And actually, if you look at the large tick, There's no evidence of a CTA winter there at all for any time frame. Things just kept working well for the whole period. So I think it's interesting. One thing that strikes me, what does it mean for CTAs? It means a few things. Does it mean that CTAs have to penalize you know, the small tick contracts and be cognizant of this effect if you're going to trade faster. That's one thing. I mean, some people will argue, okay, yes, the returns in fast trend following have deteriorated, but there is still a value for it in terms of convexity and skew. You know, there have been papers from man around this. So yes, it has to mean as good, but still from a crisis out perspective, it can be can still have a marriage. But I think certainly the idea of adjusting exposures, people obviously have done this for liquidity reasons before. Obviously, when CT has built portfolios, they do penalize certain contracts from a liquidity perspective. So maybe the next thing is penalizing from a tick size perspective.

I mean, more broadly, it's an interesting hypothesis that trend following works for two different reasons. One is the behavior reason, and the second is this momentum effect created by the trading itself. And if the market microstructure is such that you can't get that momentum from the execution of the trend trades, you don't get that short-term momentum. I mean, it's certainly interesting. I think people will debate that, but I think it's definitely Intuitively makes sense to me. What do you think? So if someone came to me and said, listen, we have found out exactly why short term trend for our short term trend following doesn't hasn't worked for the last 15 years. I would not have thought about something as unsexy as tech size. Let me just say that that is not what I would expect.

Could there be something about it? Well, I mean, for managers, it's fairly easy to test why we should go back and look at the, we can run short term timeframes on our models. So that's the first thing we do. And I can say from what I see internally at Done. Yeah, I mean, short term timeframes on a classical trend following model has not been profitable whatsoever for the past 15 years and actually ties in well. with 2009 as the breakpoint. So I would agree with that observation completely. Now, I'm not going to argue against people like Jean-Philippe Bouchaud because he's much smarter than I am, but I want to offer at least some other things. So first of all, if this is the case, we could run our own simulations based on markets with small tick size for the contracts and markets with large tick size. And in keeping the model consistent, we should see the same patent that they found. So maybe that's something we should all do. Okay. Especially if we're involved in short-term models, that would be relevant. Now, the other thing that I can't help thinking about is to one, the environment, right? Did the environment change after 2009? Maybe because we had a big global financial crisis that ended in 2009. And we know that central banks got much more involved and so on and so forth. Yes, it is true as well. The market participants started to change as well. And correct me if I'm wrong here, Alan. Wasn't 2009 also where they changed?

banks not being allowed to trade a lot on their own book and actually you had to outsource it so you could argue that market participants perhaps change as well and that has an effect and finally I would offer a third thing that could be relevant here but I have no data on this and that's actually the rise of these multi-strat pot shops because my impression is that they are much more short-term maybe not necessarily Only in their holding period, but certainly also in the way they manage risk I mean you down a little bit you get caught you're done a little bit more you get caught and I happen to have lunch with a super interesting guy who are from that space this week and He was basically saying I don't think I'm saying anything confidential when I say this and he was basically saying you know if you're one of the parts and and and and you get a call on a Friday afternoon that you need to cut your risk by 50%, they give you two hours to cut that risk, right? So I can't imagine that the rise of the AUM in these pot shops has not had an effect on the short term microstructure of the markets. So I would offer that as another explanation.

I can't say that tick size is not part of the explanation. I think managers probably, if they're interested, should test it. And I think it's obviously a convincing piece of evidence they put forward. I just think there might be more to it. That would be mine. I think that they're fair points. I mean, the other thing I was thinking about, I mean, because obviously they're saying, just to be clear, like for fast trends, In general, it's kind of equities and currencies are the two that have struggled. They assign it specifically to the tick size, but in general that's what it shows. I mean, the other thing we've had in equities has been zero DTEs. more volatility selling, you know what? So the market microstructure has changed in a few ways, you know, as you say, more pod shops, shops, but also new products and structure product wall selling, you know. Can I offer one more thing? Yeah. I mean, if we think about it, let's just say that this is done using simulation, right? Let's just say that that's what you do clearly.

I mean, if you take a contract, like we talked about in the very beginning, now the CME group is coming out with a contract that's like significantly smaller. Well, I have a feeling that when you bring out a futures contract, I haven't checked, fact check this, so don't take it as 100% sure. But I have a feeling, oddly enough, that the fees that you pay to trade those contracts are not going down. They're just the same right do you get less exposure but you pay the same transaction cost so clearly if you if you want to have the same exposure but you choose to trade the small contract you have to trade a lot more contracts that means your commission cost go up significantly. Now wouldn't that erode your performance of course it would.

So I think there are lots of moving parts in in this that I'm, as I said, I haven't read the paper in detail. So I'm not familiar if that is already addressed and accounted for. But clearly, if you just say, yeah, we're just going to switch to smaller contracts, but we're going to take the same transaction cost model. Yeah, that's going to have an impact. Yeah, no. Just wanted to point that they say in the paper, I mean, they kind of slice it a number of different ways. They also look at high volatility and low volatility. And they actually find trends are better in low volatility. But then they also look at kind of big one day moves and small one day moves. And what they're saying is what's been eliminated specifically is trend followers ability to profit from large directional kind of one day moves. So when something big happens, trend followers used to be able to get in on big size, on those moves, and, you know, get executed and profit from them. So that speaks to the liquidity, right? That speaks to the liquidity of the markets. Yeah. But then they did look at liquidity as a variable itself, and that didn't explain it cross-sectionally. So it's kind of a combination of liquidity and the contract characteristics.

is what they're suggesting. I mean, without digging too big of a hole for both of us here, Alan, certainly for me, I'm kind of thinking here, okay, let's just say that you have a firm that needs to execute a billion dollars of something. If you think about it, whether you trade with 10 people or you trade with two people, the loop it creates, the follow-through it recreates, whether 10 people have to go out and get a market, I mean, you would think that that pushes the price, right? Or whether it's two people doing it. I mean, intuitively, to me, I don't know if that makes a big difference. It's the same order size. So the question is not, how many people do you trade with? To me, it's more like, how big is the size that you're trading vis a vis the total size of the market?

But maybe I'm completely wrong here. Yeah, that's why I think people will debate it. I mean, maybe the argument is that you can't get... I mean, they do say that there's a suspicion that CTAs have actually disengaged from short-term trading, which is actually true, which is true, which is the anecdote. Most people are saying, most of the trend followers say, well, we don't do much short-term... because the evidence shows it's been deteriorating for a long time. So I don't think it's actually been a big driver of returns. Their point is that the ability to capture those moves has... But the trend signals have... Sorry, the... So what we could say maybe, but maybe what we could say is that in the short-term timeframe...

The participants have changed a lot, meaning you used to have more momentum type participants. Now you may have more mean reverting type managers like high frequency or whatever who's basically just trying to make a bit of money on the spread or whatever they're doing. So maybe that's part of the reason as well that in the last 20 years or so the way the short term specifically the short term Timeframes are made up in terms of who's who's doing the trading. Yeah has changed. Well, maybe I mean they do allude to vector city behavior may be changing too. I mean if you think about it, if CTAs are kind of All very focused on bex best execute well, obviously everybody's focused on best execution But if you're not trying to if you're passively buying as opposed to crossing the spread I mean that you know and it do touch on this as well like you're kind of gonna miss the big kind of break out moves because you're passive. And an object, if you want to execute, it's going to be expensive. So I mean, that's another dimension to it that they allude to as well. And then finally, maybe before we wrap up, I would say the final thing that I would have noted that's really changed in the last 15 years is actually how we execute, right? In the old days, we would print out tickets, we would look at them, and then we would work the order.

and kind of during the day or whatever. Nowadays, some people just go straight from the signal to the exchange, and they incorporate some kind of algo to do the actual execution. And these algos definitely behave differently than what an individual trader would do, because they're not emotional, for example, and they have patience and so on and so forth. I think this is a very interesting topic and it's a great paper. I think there's more to it. But again, I'm not a quant, so easy for me to say. But really appreciate you digging into this and really, really appreciate all the authors for putting this out there. Absolutely. Now, it's definitely one of the more interesting additions to the whole debate around us.

Anything else you want to add before we wrap up? Alan? That's what I can think of now. No, we're over. No, I think we've done it. I think we've done it. Well, as long as Switzerland is part of the World Cup, I was definitely happy to get into football. But if they leave in the next round, maybe we won't talk about football anymore. Who knows? Anyways, this was great. Really appreciated. And of course to everyone listening, please show your appreciation for Alan and all the other co-hosts by going to your favorite podcast, platform leave a rating and review because it really does help more people finding the podcast. Questions as usual? For upcoming episodes you can email them to info at toptradersonplot.com and next week the one who will be answering questions should they arrive will be Joav along with a few other papers that he found that we will be digging into. So stay tuned and that's going to be another very educational conversation from.

Alan and me, thanks ever so much for listening. We look forward to being back with you next week. And in the meantime, as usual, take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, The best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.